MODEL QUESTIONS

9KIFJI

Part-A Multiple Choice Questions

1. 'Economics is a study of mankind in the ordinary business of life' -It is the statement of
   - **a.** Adam Smith
   - **b.** Lionel Robbins
   - **c.** Alfred Marshall
   - **d.** Samuelson

2. The basic problem studied in Economics is
   - **a.** Unlimited wants
   - **b.** Unlimited means
   - **c.** Scarcity
   - **d.** Strategy to meet all our wants

3. Microeconomics is concerned with
   - **a.** The economy as a whole
   - **b.** Different sectors of an economy
   - **c.** The study of individual economic units behaviour
   - **d.** The interactions within the entire economy

4. Which of the following is a microeconomics statement?
   - **a.** The real domestic output increased by 2.5 percent last year.
   - **b.** Unemployment was 9.8 percent of the labour force last year.
   - **c.** The price of wheat determines its demand
   - **d.** The general price level increased by 4 percent last year.

5. Find the odd one out:
   - **a.** "An inquiry into the nature and the causes of the Wealth of Nations"
   - **b.** "Principles of Economics"
   - **c.** "Nature and Significance of Economic Science"
   - **d.** "Ceteris paribus"

6. The equilibrium price is the price at which
   - **a.** Everything is sold
   - **b.** Buyers spend their money
   - **c.** Quantity demanded equals quantity supplied
   - **d.** Excess demand is zero

7. Author of "An Inquiry into the Nature and Causes of Wealth of Nations"
   - **a.** Alfred Marshall
   - **b.** Adam Smith
   - **c.** Lionel Robbins
   - **d.** Paul A Samuelson

8. "Economics studies human behaviour as a relationship between ends and scarce means which have alternative uses" is the definition of economics of
   - **a.** Lionel Robbins
   - **b.** Adam Smith
   - **c.** Alfred Marshall
   - **d.** Paul A Samuelson

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